

BEFORE THE
FEDERAL MARITIME COMMISSION

**Comments on Notice of Proposed Rulemaking Regarding the Definition of Unreasonable Refusal
to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean
Common Carrier**

Docket No. 22-24; Document No. 2022-20105

Dated September 21, 2022

October 11, 2022

I. Introductory Comments on the FMC's Request for Information

The National Customs Brokers & Forwarders Association of America, Inc. ("NCBFAA" or the "Association") submits the following comments to the Federal Maritime Commission ("FMC" or "Commission") in response to the FMC's Notice of Proposed Rulemaking ("NPRM") published in the Federal Register at 87 Fed. Reg. 57,674 (September 21, 2022). The NPRM seeks public comment on proposed definitions for the elements necessary to establish a violation of 46 U.S.C. § 41104(a)(10), which prohibits ocean common carriers from unreasonably refusing to deal or negotiate with respect to vessel space accommodations. Further, the Commission proposed criteria for assessing the reasonableness of an ocean common carrier's refusal to deal or negotiate.

The NCBFAA represents more than 1,000 member companies, consisting of the nation's leading freight forwarders, customs brokers and ocean transportation intermediaries, including non-vessel operating common carriers ("NVOCCs"). The Association's members operate in the ocean shipping sector and frequently serve as intermediaries between shipper-customers and ocean common carriers. Further, the Association's members are involved in nearly 90% of U.S. trade by ocean. Given this

breadth of experience and insight, the NCBFAA is privy to the business practices of ocean common carriers, the business relationship between industry stakeholders, and the fluidity of logistics and transportation.

In light of the Association's industry experience with the ocean shipping sector and the issues impacting U.S. shippers, the NCBFAA welcomes the opportunity to submit comments on these topics in response to the Commission's request for the submission of written commentary.

II. Comments on the Scope of the Notice of Proposed Rulemaking

Below, the Association submits comments to the Commission in support of the proposed rulemaking but respectfully emphasizes that the rule should continue to exclude NVOCCs from its scope.

During the COVID-19 pandemic, U.S. shippers reported instances wherein ocean common carriers rejected export containers in favor of sending empty containers to China. In favoring these more profitable Chinese exports, these ocean common carriers left hundreds of thousands of containers with American products to rot at U.S. ports. This decision acutely harmed U.S. shipping interests. As NVOCCs, the Association's members do not own or operate the vessels. Rather, they act as the shipper in their relationships with an ocean common carrier. NVOCCs help their customers navigate the complex ocean shipping industry by securing competitive pricing and favorable transportation routes through their unique industry experience and working relationships with the ocean common carriers. In contrast, the ocean common carriers own and operate the vessels used for transporting the shipments. Ocean common carriers usually own the shipping containers and will sell port-to-port services to customers, including NVOCCs. Ocean common carriers determine how vessel space should be

prioritized and hold a considerable amount of control over such commercial decisions. As such, NVOCCs lack the authority to control vessel space accommodations.

Beyond vessel space accommodations, ocean common carriers also refuse to deal or negotiate with NVOCCs and other parties with respect to hazardous materials shipments and refrigerated container shipments. The Association's members experienced instances where ocean common carriers did not, in good faith, entertain requests for negotiation or proposed dealings with respect to these shipment types. By categorically refusing to deal or negotiate in these types of shipments, ocean common carriers impact the business operations of importers and exporters.

Given the considerable amount of control that ocean common carriers have over different dealings and decisions, the Association respectfully asserts that NVOCCs should remain outside the scope of the proposed rulemaking, as is consistent with the FMC's perspective. For example, the NPRM acknowledges that the Ocean Shipping Reform Act of 2022 ("OSRA 2022") clarified the specific prohibition at 46 U.S.C. § 41104(a)(10) to include dealings and negotiations "with respect to vessel space accommodations provided by an ocean common carrier." Further, the Commission underscored the role of ocean common carriers in the long-running U.S. trade deficit and how "[a]ccess to import vessel space was impacted by congestion, equipment availability, and VOCC commercial decisions." The language of the newly proposed 46 C.F.R. § 542.1 also reinforces the fact that the rule solely applies to the actions of ocean common carriers. In particular, the elements for establishing a claim under this section includes demonstrating that the respondent is an ocean common carrier. Further, the action subject to the Commission's review is the refusal of the ocean common carrier to deal or negotiate with a private party. Throughout this proposed rule, the Commission carefully and meaningfully used the term "ocean common carrier" rather than the overly broad term "common carrier," which would include NVOCCs.

Therefore, the Association underscores that the purpose of the proposed rulemaking is to address specific ocean common carrier practices rather than any NVOCC activities.

III. Conclusion

Consistent with the legislative intent of OSRA 2022 and the understanding that ocean common carriers are the entities in control of vessel space accommodations, the NCBFAA respectfully requests that the Commission ensures that the final rule does not unintentionally bring NVOCCs within its scope. NVOCCs are not the owners or operators of the vessels and merely serve as intermediaries between the ocean common carriers and shippers. NVOCCs also lack the authority to dictate how vessel space is prioritized and allocated. The final rule must therefore be limited in scope and application to avoid unduly burdening NVOCCs and subjecting these entities to unwarranted risks.

The NCBFAA appreciates the opportunity to provide the FMC with its thoughts and opinions on the matter. Please do not hesitate to contact the undersigned if the Commission has any questions on these comments.

Respectfully submitted,



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